



MTN RWANDACELL PLC RESULTS

FOR THE YEAR ENDED 31 December 2023

Kigali | Rwanda: 15 March 2024



MTN Rwandacell Plc (MTN Rwanda) is pleased to announce its audited financial results for the year-ended 31 December 2023.

Kigali | Rwanda: 15 March 2024

Salient points:



Total subscribers increased by 6.5% year-on-year (YoY) to 7.3 million



Active data subscribers increased by 14.3% YoY to 2.6 million



Active Mobile Money (MoMo) subscribers increased by 13.9% YoY to 4.9 million



Service revenue increased by 11.2% to Rwf 246.5 billion



Earnings before interest, tax, depreciation, and amortisation (EBITDA) increased by 6.8% to Rwf 115.8 billion



EBITDA margin decreased by 1.9 percentage points (pp) to 46.4%



Profit after Tax (PAT) decreased by 28.9% to Rwf 11.4 billion, impacted by higher finance costs adjustments on our tower leases and local currency depreciation affecting our foreign obligations.



Capital expenditure (capex) increased by 20.8% to Rwf 83.2 billion (up 32.0% to Rwf 62.2 billion, ex-leases)



Medium-term guidance and outlook: The macroeconomic environment in Rwanda is expected to remain challenging, although we are encouraged by the improvement in the inflation rate. MTN Rwanda will continue to invest in the expansion and modernisation of our network and the rollout of competitive services and subscriber growth to accelerate service revenue growth. We remain focused on driving further expense efficiencies, preserving liquidity and maintaining our medium-term guidance of mid-teens (in percentage terms) growth in service revenue and a stable EBITDA margin.

Unless otherwise stated, financial and non-financial information is year-on-year basis (YoY). Financials are reported on a consolidated basis of MTN Rwandacell PLC and its subsidiary Mobile Money Rwanda Ltd.

MTN Rwanda defines mobile subscribers as those active in 90 days. Data and MoMo users as those active in 30 days. Service revenue is defined as revenue generated from activities performed by MTN operations or business units using a base transmission station (BTS).

COMMENTS FROM MTN RWANDA

CHIEF EXECUTIVE OFFICER - MAPULA BODIBE



MTN Rwanda's operating context

Rwanda's macroeconomic environment presented a number of challenges in 2023, such as the local currency depreciation against the US dollar and foreign exchange shortages which resulted in higher utility costs. These factors contributed to a challenging operating environment during the year, despite an improvement in GDP growth of 8.2% led by ICT growth of 35%. Economic growth was also boosted by financing from the Economic Recovery Fund (ERF) and the Manufacture and Build to Recover Program (MBRP), which were developed to boost economic growth post the COVID-19 pandemic crisis.

Urban CPI averaged 14.3% YoY in the year, the highest in 12 years, which constrained consumer wallets, which was exacerbated by higher fuel prices which contributed to food price inflation and an overall higher cost of living. This trend precipitated from global geopolitical challenges and a rise in global commodity prices, particularly in the first half of 2023. Encouragingly in H2, the trajectory of inflation abated from its peaks, closing the year with rate of 6.4% in December 2023 (December 2022: 21.6%).

The US dollar appreciated by 18.05% against the Rwandan franc in 2023 driven by global strengthening of the US dollar in response to the Federal Reserve's monetary policy stance.

On the regulatory front, the Rwanda Utilities Regulatory Authority (RURA) implemented a directive in August 2023 cutting local mobile termination rates (MTR) to zero. This negatively impacted our financial performance and spurred increased pricing aggression and value destruction in the market.

Notwithstanding the challenging operating environment, MTN Rwanda remains steadfast in executing its Ambition 2025 strategy and creating value for our shareholders. As we execute our strategy, we'll continue to invest in our network infrastructure to enhance capacity, expand coverage, and unlock cost efficiencies to improve the profitability of the business.

Looking forward, we remain focused on sustaining our commercial momentum and accelerating our service revenue growth, increasing our subscriber base, and generating improved returns.

Robust commercial and financial performance

Against this backdrop, MTN Rwanda delivered strong operational results as our subscriber base crossed the seven million mark for the first time, recording a growth of 6.5% YoY to 7.3 million. Active data subscribers rose by 14.3% YoY, reaching 2.6 million while our Active Mobile Money subscriber base sustained a growth of 13.9%, reaching 4.9 million subscribers at the end of the period.

Our strong commercial momentum drove solid service revenue growth of 11.2% YoY in the year, despite the effects of the zero Mobile Termination Rate (MTR) directive on interconnect revenues. These results were underpinned by a strong performance in our data, fintech and our enterprise business units, driven by a focus on effective execution in our commercial operations coupled with the introduction of compelling and competitive propositions for our customers. Our topline performance and focus on expense efficiencies underpinned a resilient EBITDA margin of 46.4% (1.9pp lower).

To support the commercial and financial performance, MTN Rwanda sustained the investment in its network and platforms – with capex (ex-leases) of Rwf 62.2 billion in the period – to further enhance quality of service and customer experience. We are pleased to have launched our 4G network in July 2023, which has enabled us to meet our customers' data needs more efficiently and affordably. We successfully expanded our network population coverage to 99.1% (up 0.4pp) for 2G/3G and 84.5% (up 84.5pp) for 4G which enabled us to expand internet access to Rwandans by increasing our broadband coverage.

Creating shared value

As part of our commitment to creating shared value, we drove ESG programs across priority areas such as climate action, health, education, and diversity and inclusion, among others. Through Project Zero, we reduced our scope 1 and 2 carbon emissions by 26.3% via initiatives such as acquiring additional hybrid electric vehicles and the deployment of solar power at two data centers. Furthermore, through our environmental initiatives, fostering a greener Rwanda, we rolled out the green ambassadors' programme and planted 25,000 trees to honour our 25-year anniversary celebration pledge.

As part of MTN's vision to create a better future for all Rwandans, we invested over Rwf 150mn in CSR projects and initiatives in 2023, aimed towards improving healthcare, education, and supporting job creation and economic growth.

Over and above our increased broadband coverage, we drove our digital and financial inclusion agenda through strategic partnerships with IHS and the Rwanda Technical and Vocational Education Board (TVET). This collaboration enabled the construction of 20 computer labs to increase quality access and the use of educational materials to bridge the digital divide.

We continued to play our role as a UN SDG enabler by donating Rwf 100 million to the Ministry of Health for the construction of a c-section block at the Bweyeye health center in Rusizi District ensuring the well-being of mothers. We spearheaded fundraising in partnership with the Rwanda Union of the Blind through our #TweseInitiative, garnering donations of essential equipment like white canes for the blind. This underscores our commitment to inclusive practices.

Our commitment to driving socioeconomic development in Rwanda continues to be a priority and we look forward to continuing to play our part in Rwanda's sustainable development.

Our diversity and inclusion program is making steady progress, with female representation in our workforce increasing to 35.8% by December 2023 (December 2022: 34%), in line with the aim to increase the representation of women in the workforce to 50% by 2030.

25 years of connecting Rwandans

2023 was a significant milestone for MTN Rwanda as it celebrated 25 years of operations in Rwanda. To mark the occasion, we drove various activities including music festivals, community service initiatives, environmental programs and participation in the Mobile World Congress (MWC) summit in Kigali. At the summit, we showcased Rwanda's first-ever live 5G network technology in an effort to explore new ways to improve the everyday lives of Rwandans. 5G technology aims to enable access to high-speed Broadband services and reduced latency, significantly enhancing internet user experience. On the sidelines, we hosted a celebratory dinner with MTN Group executives, MTN Rwanda Board members, stakeholders from the government of Rwanda and captains of Industry, with our Chief Guest of Honour, His Excellency President Paul Kagame in attendance, to commemorate MTN's 25 years of doing business in Rwanda.

Outlook

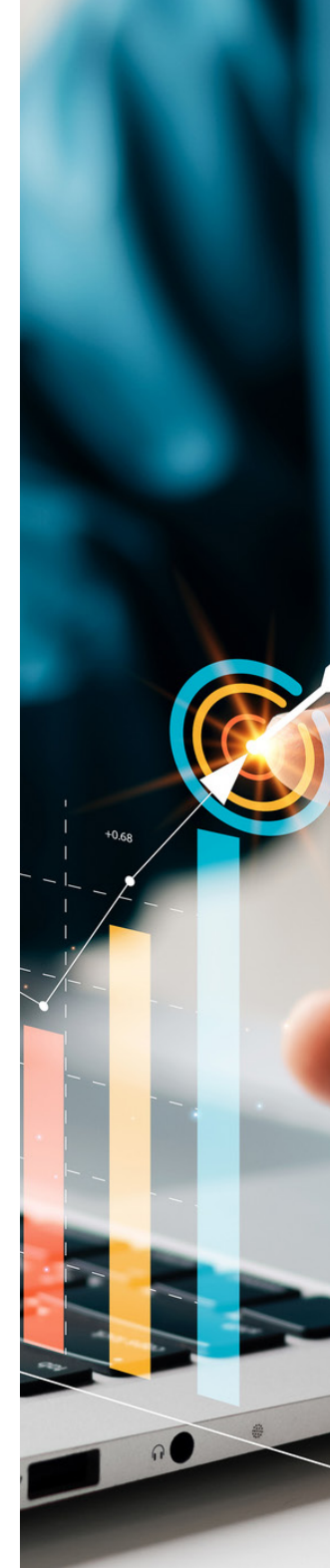
We are excited about 2024 and look forward to continuing delivering on our commitment to provide the benefits of a modern connected life to Rwandans and to achieve our Ambition 2025 strategic priorities. As we continue to execute our strategy and commercial initiatives, focus on efficiencies and leverage our 4G network, we maintain our medium-term guidance of mid-teens service revenue growth and a stable EBITDA margin.


Mapula Bodibe
Chief Executive Officer

Key financial and operational highlights

Rwf (m)	FY 2023	FY 2022	YoY %	Q4 2023	Q4 2022	YoY %
Total Revenue	249,386	224,274	11.2%	60,937	58,461	4.2%
Service Revenue	246,469	221,719	11.2%	60,224	57,801	4.2%
Voice	83,637	91,103	-8.2%	17,725	22,532	-21.3%
Data	45,061	37,112	21.4%	11,220	9,460	18.6%
Fintech	96,964	74,488	30.2%	24,676	18,882	30.7%
Other	23,724	21,571	10.0%	6,603	6,927	-4.7%
Expenses	133,586	115,879	15.3%	29,814	30,952	-3.7%
EBITDA	115,800	108,395	6.8%	31,123	27,509	13.1%
EBITDA margin	46.4%	48.3%	-1.9pp	51.1%	52.8%	4.0pp
Depreciation & Amortization	61,690	52,227*	18.1%			
Net Finance Costs	36,489	31,522*	15.8%			
Profit before tax	17,621	24,646*	-28.5%			
Income tax expense	6,171	8,536*	-27.7%			
Profit after tax	11,450	16,109*	-28.9%			
EPS (Rwf)	8.5	11.9*	-28.9%			
Capex	83,193	68,874	20.8%	40,343	7,091	468.9%
Capex (ex-leases)	62,205	47,135	32.0%	19,355	8,710	122.2%
Capex intensity (%)	24.9%	21.0%	3.9pp	31.8%	14.9%	16.9pp
Free cashflow	53,595	61,444	-12.8%	11,768	22,159	-46.9%
Non-Financials (millions)						
Mobile Subscribers	7.3	6.8	6.5%	7.3	6.8	6.5%
Data Subscribers	2.6	2.3	14.3%	2.6	2.3	14.3%
MoMo Users	4.9	4.3	13.9%	4.9	4.3	13.9%

*Restated figures



Note:

- *Financials are reported on a consolidated basis of MTN Rwandacell PLC and its subsidiary Mobile Money Rwanda Ltd.*
- *Service revenue is defined as revenue generated from activities performed by MTN operations or business units using a base transmission station (BTS).*
- *Other revenue includes: Xtratime, digital, SMS, wholesale, fixed connectivity, managed services, cloud and Internet of Things (IoT)*
- *Capex (ex-leases) excludes right of use assets.*
- *Free cash flow is EBITDA minus capital expenditure.*
- *Earnings per share (EPS) is computed by dividing the PAT by the number of shares.*

Restatement of prior year accounts

MTN Rwanda accounts for leases based on IFRS 16 (Leases), which requires the recognition of lease liabilities and right-of-use assets on the statement of financial position. The subsequent recognition of the depreciation and interest expense is recognized within the statement of comprehensive Income.

A review by MTN Rwanda in the current year identified that incorrect present value of future lease payments was calculated and as a consequence, right of use assets and lease liabilities were understated, leading to an understatement of the annual depreciation charge and finance costs and, therefore, an overstatement of retained earnings. During 2023, MTN Rwanda adopted Deferred Tax related to Assets and Liabilities arising from a Single Transaction - Amendments to IAS 12 (the Amendments) retrospectively, which has resulted in the recognition of deferred tax assets and a related increase in retained earnings for prior years.

Consequently, we have restated the opening balance of total equity for FY 2022 higher by Rwf 1,637 million for the net impact of the correction of lease accounting and the adoption of amendment to IAS 12. The FY 2022 PAT was restated lower by Rwf 2,915 million, to Rwf 16,109 million. EPS was restated lower to Rwf 11.9, from Rwf 14.1.

Resilient operating and financial results

We are pleased with the overall performance, maintaining strong commercial momentum of our business amidst some volatility in our macroeconomic, regulatory and competitive context; with a strong growth in our subscriber base, with 500k subscribers added in 2023, bringing our total base to 7.3m and double-digit service revenue increase of 11.2% YoY demonstrating the resilience of our Data, Fintech and Enterprise business units.

Voice revenue recorded an 8.2% YoY decline, mainly in Q4 (down 21.3%). This was principally driven by the effects of the MTR cuts introduced by the regulator. This was exacerbated by the consequent increase in pricing aggression from the competition, which impacted overall voice revenue growth negatively. Despite these headwinds, we delivered a strong growth in our mobile subscriber base, up 6.5% YoY, as well as compelling commercial initiatives to defend our competitive position. The contribution of voice revenue to total service revenue declined to 33.9% (2022: 41.1%).

Data revenue delivered a strong growth of 21.4%, YoY despite more aggressive pricing competition, especially in Q4. The strong Data revenue performance was driven by a 14.3% increase in active data subscribers and a 20.8% increase in data traffic, underpinned by the launch of our own 4G network which saw a 506% rise in 4G users. This was boosted by the introduction of our affordable, competitive and customized data packages.

The smartphones connected to our network rose by 26.0% YoY to around 2.0 million, with Smartphone penetration up by 4.2pp YoY to 27.0% (2022: 22.8%). This was driven by the continued enhancement of our device financing programme, which led to over 150k smartphones distributed since launch 14 months ago. Data revenue accounted for 18.3% of total service revenue, (2022: 16.7%) demonstrating an overall increase in access to the internet.

Fibre to the Home broadband subscribers grew by 45.9% to 9.3k (up from 6.3k in December 2022) translating to a 26.3% growth in home broadband revenue, whilst total Home Broadband subscribers peaked at 23k including fixed wireless access subscribers.

The strong adoption and usage of **Fintech services**, coupled with a 13.9% growth in active MoMo subscribers in 2023, underpinned our mobile money subsidiary's strong revenue growth of 30.2% YoY. The volume and value of MoMo transactions grew by 32.0% to 1.9 billion and 45.4% to Rwf 21 trillion, respectively. Customer value management initiatives as well as an increase in the overall subscriber penetration to 68%, contributed to the deepening of the fintech ecosystem in the market.

MoMo also showed tremendous growth in the active merchant base, which grew by 139% YoY to 337k (2022: 141k). Pleasingly, the trajectory of advanced MoMo services (Payments, Remittance, Savings and Lending) was especially strong and rose by 69.2% YoY, contributing 23.0% to overall MoMo revenues (2022: 18.2%). The fintech contribution to overall service revenue increased to 39.1% (2022: 33.4%).

Our **Enterprise** business recorded strong results, with a 15.0% YoY growth in revenue driven by robust contributions from all service revenue streams, including Voice, SMS, Data and ICT solutions. This was underpinned by a 22.7% growth in the enterprise subscriber base. During H2 2023, we launched a new SME focused value proposition; a 4G powered solution that encompasses speed, efficiency, reliability, and convenience to enable SMEs to run their business more efficiently and affordably as well as to help bridge the digital divide by reaching wider audiences.

EBITDA rose by 6.8% YoY, resulting in a EBITDA margin of 46.4%, a 1.9pp drop against December 2022 (48.3%). A key factor supporting the EBITDA growth was the launch of our own 4G network in July 2023, which reduced our data cost of sales by more than Rwf 3.5 billion, that was previously paid to a wholesale service provider. However, MTR cuts implemented by the regulator negatively impacted interconnect revenues, which affected the EBITDA margin. Excluding the effects of the regulatory MTR cuts, EBITDA rose by 11.4%.

As part of the continued implementation of our expense efficiency programme (EEP), we realised savings of close to Rwf 5 billion driven by various initiatives in our network, MoMo, sales & distribution as well as our consumer business units.

Depreciation and amortisation increased by 18.1% largely due to an increase in commissioned network sites during the period and the effect of the restatement of the ROU assets in relation to long-term leases. In addition, **net finance costs** rose by 15.8%, due to the IFRS-16 finance cost on our long-term leases as well as the unrealised foreign exchange losses resulting from the appreciation of the US dollar against the Rwandan franc.

PAT reduced by 28.9% YoY, due to higher depreciation and finance costs.

Capex (ex-leases) rose by 32% to Rwf 62.2 billion as we expanded our network footprint, establishing 1,011 new 4G sites (with a population coverage up to 84.5%) and 170 new 2G and 3G sites during the year. This contributed to an increase in capex intensity by 3.9pp to 24.9%.

We entered into a new agreement with an expanded scope relating to MTN's Mobile Money (MoMo) service on the Ericsson Wallet Platform. This supports our priority to broaden the scope of financial services users, enabling them to access high-end business applications. Powered by the Ericsson Wallet Platform, MoMo enables individuals and businesses to more easily conduct secure and convenient banking and payment transactions on their mobile devices. As certain of the costs are capitalised, such as software licensing, this will result in higher capex as well as depreciation over the course of the agreement.



Key regulatory updates

Launch of 4G

One of the most significant regulatory developments in 2023, was the modification of MTN Rwanda's Individual License following the liberalisation of access to 4G and future technologies following the updated national Broadband Policy. MTN Rwanda launched its own 4G LTE network in July 2023 providing best in-class network connectivity services to its customers. As a result of receiving our modified license, MTN Rwanda was able to conduct a successful 5G demo in October 2023, on the sidelines of the Mobile World Congress Africa (MWC Africa) conference.

Update on regulatory enforcement notice on quality of service (QoS)

MTN Rwanda continues to pursue its previous request to have the QoS Enforcement Notice, issued in August 2021, officially lifted by the Rwanda Utilities Regulatory Authority (RURA) due to the improvements in the network quality of service over the period.

In the meantime, MTN Rwanda continues to implement various interventions to maintain QoS in line with its regulatory obligations such as roll out of additional sites and conducted a drive test in Q4 2023 to identify any areas requiring additional interventions. The request made to RURA to officially lift the 2021 Enforcement Notice will continue to be pursued.

New Mobile Termination Rates implemented by RURA

In August 2023, RURA set new directives on local Interconnection rates for the mobile telecommunication sector. The consequence of this directive meant that as from August 2023, for a period of one year, all operators in the mobile telecommunication sector would not recognize local incoming interconnect revenue. This directly impacted our service revenue performance and EBITDA margins for the remainder of the year.

It is anticipated, as communicated by RURA, that an independent study will be conducted, to determine the impact of the zero rated MTR on the industry and determine the suitable MTR to be applied after the one year period.

Outlook

The macroeconomic outlook for Rwanda in 2024 is expected to remain challenging due to continued currency depreciation risks, which is expected to continue to put pressure on the cost of living for Rwandans and the cost of doing business in the short term.

According to the National Bank of Rwanda, Rwanda's GDP growth is expected to remain resilient in 2024, boosted by the acceleration of the post-flood disaster reconstruction spending and recovery in the agricultural sector. Although inflation moderated in H2 2023, we observed indications of renewed upward pressure in 2024, in part due to exchange rate pressures arising from a higher import bill.

Despite the challenging economic outlook, we remain fully committed to executing our Ambition 2025 strategy. Our unwavering focus is to create value for our stakeholders and drive growth by investing efficiently in our network modernisation programme to enhance capacity to improve the quality of service for our customers.

We are committed to sustaining investment in the growth of our business, particularly to accelerate topline growth to mitigate the near-term pressures, whilst remaining competitive. Our disciplined focus on unlocking further expense efficiencies will help to drive strong underlying operational performance for the business.

As we navigate the increased intensity in our competitive environment, we are excited by the anticipated benefits to our customers from the launch of our own 4G network in July 2023. This will support our compelling commercial

propositions and underpin accelerated growth in our mobile data and home broadband business. MTN Rwanda is poised to deliver an improved customer experience in 2024 which will unlock a growth in usage. We are committed to delivering on our objective to achieve 2/3G population coverage of 99% and 4G population coverage above 90% by end of 2024.

MTN Rwanda embraces the importance of partnerships to further close the digital gap in Rwanda and will be further rolling out additional initiatives to drive smartphone penetration and a growth in active data users. This will be driven through the onboarding of additional partners on the existing device financing program and rolling out a low cost smartphone program across communities as well as driving increased and affordable access to Data services as well as promoting the development of digital skills.

From a fintech perspective, we will continue the work to deepen the adoption of our advanced services through the launch of exciting new products and services. We will leverage our CVM initiatives to further drive MoMo penetration as well as leverage the growth in subscriber to drive an increased penetration of MOMO across the base. We will also progress our work to digitize school fees payments, public transport, agriculture, health and insurance services, with a keen focus on

delivering excellent customer experience. We remain committed to execute on our priority to drive financial inclusion in Rwanda.

A focus on cost efficiencies is an ongoing priority and will be key to improving our operating leverage in the business. Various initiatives under the expense efficiency programme will be geared toward achieving additional savings to further improve the financial resilience of the business. We target approximately Rwf 6-8 billion in expense efficiencies over the next three years.

On the regulatory front, we will continue to engage relevant authorities and stakeholders on matters impacting our business. This includes our engagement to lift the QoS enforcement notice and in addition, the impact of introduction of zero MTR on revenue, margin and sustainability of the business and its ability to continue its investment in infrastructure.

The MTN Rwanda investment case remains compelling, underpinned by structurally higher demand for services and growth in data, enterprise and fintech services. To sustain this demand and deliver value to our stakeholders, we will continue to invest in our network to provide best in-class connectivity operations to sustain topline growth and improve our operational excellence, whilst protecting margins.

We are conscious of the macroeconomic and other headwinds affecting our business operations and maintain our medium-term guidance with mid-teens service (in percentage terms) revenue growth and a stable EBITDA margin.

Audited Consolidated financial statements for the period ended 31 December 2023

Consolidated Statement of Comprehensive Income

	2023 (Rwf'000)	2022 Restated (Rwf'000)
Revenue	249,385,802	224,273,733
Direct network and technology operating costs	(26,158,737)	(22,263,530)
Government and regulatory costs	(8,501,090)	(7,004,128)
Costs of handsets and other accessories	(3,843,736)	(2,703,710)
Interconnect and roaming costs	(13,795,965)	(9,570,467)
Staff costs	(18,125,664)	(15,410,538)
Selling, distribution and marketing expenses	(35,720,003)	(33,291,449)
Other operating expenses	(27,440,520)	(25,635,414)
EBITDA	115,800,087	108,394,497
Depreciation of property, plant and equipment	(25,823,859)	(26,418,173)
Depreciation of right-of-use asset	(23,390,698)	(16,417,799)
Amortization of intangible assets	(12,475,314)	(9,391,473)
Operating Profit / (Loss)	54,110,216	56,167,052
Finance Income	1,026,609	593,355
Finance costs	(37,516,014)	(32,114,862)
Profit before tax	17,620,811	24,645,545
Income tax expense	(6,171,091)	(8,536,452)
Profit for the year	11,449,720	16,109,093
Other comprehensive income for the year net of tax	-	-
Total comprehensive income for the year	11,449,720	16,109,093
Basic/ diluted earnings per share	8.5	11.9

Consolidated Statement of Financial Position

	31-December-2023 (Rwf'000)	31- December -2022 Restated (Rwf'000)	01-January- 2022 Restated (Rwf'000)
ASSETS			
Non-current assets			
Indefeasible rights of use assets (IRUs)	10,018,843	11,369,412	7,702,775
Intangible assets	82,494,204	79,018,917	86,864,513
Property, plant, and equipment	119,969,099	101,637,006	83,082,391
Non-Current prepayments	615,843	801,003	-
Right of use assets	127,125,919	115,625,107	96,495,532
Total non-current assets	340,223,908	308,451,445	274,145,211
Current assets			
Current income tax	5,871,212	1,667,243	2,474,259
Indefeasible rights of use assets (IRUs)	2,249,645	2,324,534	1,158,019
Restricted cash	5,713,097	4,763,190	10,220,458
Mobile Money deposits	153,059,615	114,417,857	86,769,068
Cash and cash equivalents	20,297,068	20,299,144	12,185,937
Deposits with financial institutions	1,977,505	-	-
Inventories	231,080	1,207,923	1,506,956
Trade and other receivables	37,616,054	23,298,180	39,738,185
Total current assets	227,015,276	167,978,071	154,052,882
TOTAL ASSETS	567,239,184	476,429,516	428,198,093

Consolidated Statement of Financial Position

	31-December-2023 (Rwf '000)	31- December -2022 Restated (Rwf '000)	01-January- 2022 Restated (Rwf '000)
EQUITY			
Ordinary share capital	1,350,886	1,350,887	1,350,887
Retained earnings	68,898,441	66,960,821	57,578,813
Other reserves	3,199,614	1,500	1,500
TOTAL EQUITY	73,448,941	68,313,208	58,931,200
LIABILITIES			
Non-current liabilities			
Deferred income tax	8,828,938	14,301,038	10,977,223
Other non-current liabilities	10,528,683	-	-
Borrowings	50,980,806	65,136,084	83,367,212
Lease liabilities	100,010,918	95,259,578	81,039,193
Total IRU Liability	456,836	492,190	-
Total non-current liabilities	170,806,180	175,188,889	175,383,628
Current liabilities			
Deferred revenue	115,860	105,327	3,117,051
Contract liabilities	2,974,509	2,333,057	-
Borrowings	25,708,541	25,708,541	7,273,625
Trade and other payables	84,668,803	50,555,400	59,733,598
Lease liabilities	5,040,714	-	-
Mobile Money payables	153,059,615	114,417,857	86,769,068
Provisions	639,441	1,152,739	878,094
Taxation liabilities	180,061	10,628,101	-
Lease liabilities	49,861,579	37,739,497	28,618,910
Shareholder loan	915,000	915,000	915,000
Bank overdraft	-	-	6,577,919
Total current liabilities	322,984,062	232,927,418	193,883,265
TOTAL LIABILITIES	493,790,243	408,116,307	369,266,893
TOTAL EQUITY AND LIABILITIES	576,239,184	476,429,516	428,198,093

Consolidated Statement of Changes in Equity

	Stated Capital Rwf '000	Retained Earnings Rwf '000	Other Reserves Rwf '000	Total Equity Rwf '000
As at 1 January 2022	1,350,887	55,941,514	1,500	57,293,901
Prior year adjustments	-	1,637,299	-	1,637,299
As at 1 January 2022 (Restated)	1,350,887	57,578,813	1,500	58,931,200
Total profit and comprehensive income for the year	-	16,109,092	-	16,109,092
Dividends paid	-	(6,727,084)	-	(6,727,084)
As at 31 December 2022 (Restated)	1,350,887	66,960,821	1,500	68,313,208
As at 1 January 2023	1,350,887	66,960,821	1,500	68,313,208
Allocation to reserve	-	-	3,198,114	3,198,114
Total profit and comprehensive income for the year	-	11,449,720	-	11,449,720
Dividends paid	-	(9,512,101)	-	(9,512,101)
As at 31 December 2023	1,350,887	68,898,440	3,199,614	73,448,941

Consolidated Statement of Cash Flows

	2023 (Rwf '000)	2022 Restated (Rwf'000)
Operating activities		
Cash generated from operations	142,117,989	154,239,878
Interest Paid	(12,456,500)	(12,973,787)
Interest Received	1,026,609	593,355
Taxation paid	(15,843,969)	(10,890,099)
Net cash generated from operating activities	95,339,466	114,027,772
Cashflow from Investing activities		
Acquisition of property, plant and equipment and intangible	(60,035,347)	(46,151,370)
Proceeds on Disposal of PPE	974	1,178,136
Movement in current investments	(1,977,505)	-
Movement in Non-Current Prepayments	185,160	-
Payment of GSM Network License	-	(27,430,899)
Net Cash Outflow from investing activities	(61,826,718)	(72,404,133)
Cashflows from financing activities		
Principal paid on borrowings	(17,651,515)	(12,401,252)
Bank Overdraft	-	(6,577,919)
New Loan acquired	3,000,000	11,000,000
Dividends paid	(9,102,420)	(6,724,084)
Principal payment of lease component	(16,873,422)	(12,246,048)
IRU Liabilities	(35,354)	(35,608)
Deferred income	10,533	102,661
Net cash inflow from financing activities	(33,452,178)	(26,885,250)
Net Increase/(decrease) in cash and cash equivalents	60,570	14,738,389
Cash and cash equivalents at beginning of the year	20,299,144	5,608,018
Effect of exchange rates on cash and cash equivalents	(62,646)	(47,263)
Cash and cash equivalents at the end of the year	20,297,068	20,299,144

The condensed consolidated financial information for the year ended 31 December 2023 on pages 4 to 11 was approved by the Board of Directors on 09 March 2024 and was signed on its behalf by:



Mapula Bodibe
Chief Executive Officer
MTN Rwandacell Plc



Mark Nkurunziza
Chief Financial Officer
MTN Rwandacell Plc

Contacts

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Please visit
<https://www.mtn.co.rw/financial-results/> to download our financials and other investor information.

Annexures

1. Quarterly financial highlights

	Q4 2023 Rwf' Mn	Q4 2022 Rwf' Mn	Q3 2023 Rwf' Mn	Q3 2022 Rwf' Mn	Q2 2023 Rwf' Mn	Q2 2022 Rwf' Mn	Q1 2023 Rwf' Mn	Q1 2022 Rwf' Mn
Total revenue	60,937	58,461	66,518	59,172	62,526	54,645	59,405	51,996
Service revenue	60,224	57,801	65,822	58,639	61,848	54,367	60,101	52,013
Voice	17,725	22,532	21,536	23,806	22,412	22,572	21,964	22,192
Data	11,220	9,460	12,383	10,079	11,282	8,972	10,176	8,601
MoMo	24,676	18,882	26,048	19,993	23,030	18,190	23,210	17,424
Other	6,603	6,927	5,855	4,761	5,125	4,633	4,751	3,796

2. Quarterly non-financial highlights

	Q4 2023 Rwf' Mn	Q4 2022 Rwf' Mn	Q3 2023 Rwf' Mn	Q3 2022 Rwf' Mn	Q2 2023 Rwf' Mn	Q2 2022 Rwf' Mn	Q1 2023 Rwf' Mn	Q1 2022 Rwf' Mn
Subscribers ¹	7,261,287	6,815,956	7,169,790	6,792,044	6,977,148	6,584,595	6,919,094	6,467,818
Active data subs ²	2,645,876	2,314,018	2,566,051	2,366,348	2,308,625	2,196,362	2,159,004	2,175,300
Active MoMo subs ²	4,916,206	4,317,241	4,566,176	4,094,735	4,431,173	3,874,207	4,390,997	3,745,270

1 RGS 90 subscribers

2 RGS 30 subscribers



MTN

Together, our growth is
inevitable ***because we
never settle for less.***